

launch in India. The US-based investment bank was the first foreign player to start a mutual fund company in India. Its maiden offer in January 1994 was the Morgan Stanley Growth Fund, a fifteen-year close-ended equity scheme. Those who invested would have their money locked in the scheme till it matured fifteen years later. The units were priced at Rs 10 each, and retail investors thought this was no different from a regular IPO, which could double or even treble on listing. Few knew the difference between open-ended and close-ended schemes, and even fewer understood the concept of net asset value (NAV) and units. Soon there were long queues of eager investors to buy application forms to subscribe to the scheme.

Morgan Stanley grandly announced that units would be allotted on a first-come-first-served basis. Nobody asked it how the firm would be able to ascertain which investors had applied first when the application forms were going to be collected from all over the country. I guess even the fund would not have anticipated the kind of response it would get from ill-informed investors looking to make a fast buck.

The fund had aimed to raise Rs 300 crore, but ended up raising Rs 1,000 crore.

Unfortunately for all the enthusiastic investors, the Morgan Stanley fund ended up buying too many wrong stocks and at such terrible prices that when the first NAV was announced, unitholders were poorer by 10 per cent. Worse was their realization that they could not exit their investment for the next fifteen years. The mutual fund units could be traded on the stock exchange, however, but they were quoting lower than the fund's NAV. That experience left a bad taste in the mouth, and for the next few years Indian investors would shudder at the very mention of the term 'mutual fund'.

In the meantime, FIIs were slowly warming up to Indian equities. In 1993-94, FIIs pumped in a little over Rs 5,000 crore into Indian equities, with nearly half of it coming through in the last fiscal quarter. Foreign fund managers finally seemed to have tasted blood on Dalal Street and were thirsting for more.

This spelt a hugely profitable business for many brokers who had managed to build a rapport with the important players. In the beginning, many brokers profited at the expense of the foreign funds. I knew two street-smart dealers – broking firm employees who execute buy and sell orders – at two different, reputed broking firms, who were masters at this game.